

25STCV37235 25STCV37235

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Sharleen Cleveland v. The TJX Companies, Inc., et al.

Tuesday,

July 28, 2026

[TENTATIVE] ORDER GRANTING DEFENDANTS' MOTION TO COMPEL
ARBITRATION AND STAY PROCEEDINGS AND DISCOVERY (8839)

I. BACKGROUND

The

complaint alleges Defendants employed Plaintiff for 24 years. Plaintiff alleges she was subjected to discrimination and harassment in violation of the Fair Employment and Housing Act ("FEHA"). Plaintiff also alleges claims for retaliation under both the Labor Code and FEHA. The complaint alleges tort claims for wrongful termination in violation of public policy, intentional infliction of emotional distress, and negligent infliction of emotional distress.

Defendants

now move to compel arbitration on grounds Plaintiff acknowledged and agreed to a valid arbitration agreement requiring that all employment disputes be resolved by binding arbitration. The scope of the agreement is broad and encompasses the claims alleged in the complaint. Defendants contend that Plaintiff was provided with a meaningful opportunity to opt out, and she did not, resulting in an automatic "opt-in" to the binding arbitration provision.

II.

LEGAL STANDARDS

The

court can order the parties to arbitrate the matter on petition of a party to an arbitration agreement. (Code Civ. Proc., § 1281.2.) The petitioner's burden is to establish that a valid arbitration agreement exists. The opposing party's burden is to establish a defense to enforcement based on a preponderance of evidence. (*Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 705.)

Courts

apply state law to determine who is bound by an arbitration agreement and who may enforce it. (*Thomas v. Westlake* (2012)

204 Cal.App.4th 605, 614, fn. 7); *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 410 ["Because the California

procedure for deciding motions to compel [arbitration] serves to further, rather than defeat, full and uniform effectuation of the federal law's objectives, the California law, rather than section 4 of the USAA, is to be followed in California courts."].)

Under

Section 2 of the FAA, written arbitration agreements are valid, irrevocable, and enforceable "save upon such grounds as exist at law or in equity for the revocation of a contract." (*Arthur Andersen LLP v. Carlisle* (2009) 556 U.S. 624, 629–630; 9 U.S.C.A. § 2.) Section 3 of the FAA requires the

court to stay the action if it involves issues referable to arbitration. (9 U.S.C.A. § 3.)

III. DISCUSSION

A. Whether there is an agreement to arbitrate.

Plaintiff's opposition argues that

Defendants required Plaintiff to sign the arbitration agreement, and there is no signed agreement. Plaintiff argues that Defendants offered an alternative to signing it by downloading the agreement electronically, select either agreement or declination and click "FINISH." The agreement states that if an employee neither accepts nor declines, then the employee is deemed to have opted in to the arbitration agreement. (Opp.

7:5-24.)

Plaintiff argues these are inconsistent provisions rendering the agreement ambiguous and susceptible to competing interpretations, and therefore, the contract should be construed against Defendants, who prepared the agreement.

The Court's threshold issue is to determine whether the parties agreed to arbitrate which the moving party must show by a preponderance of evidence. (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59.) The Court applies general contract law to make that determination. (*Id.* at 60 ["The basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting."].)

Defendants submit a copy of the Arbitration Agreement which is unsigned. (Koch decl., Ex. B.)

Plaintiff argues that the arbitration agreement never explained how the "opt-out procedures interact with the representation that the agreement would be indicated by signature or completion of an electronic enrollment process." (Opp. 7:24-28.) Contrary to Plaintiff's argument, the process for accepting or declining was unambiguous.

It is true the agreement provided space for a hard signature. It also clearly articulated the manner in which Plaintiff could decline to participate in the arbitration agreement by sending a signed and dated letter with her identification number and the work location to a P.O. Box in Massachusetts. (Ex. B, § 8.)

In the alternative, Plaintiff could decline electronically by going to the designated website and decline to participate at the bottom of the Agreement. (*Id.*) Whatever alternative Plaintiff chose, the agreement required that Plaintiff decline by March 12, 2014. If the employee did not accept nor decline participation through one of the two methods by March 12, 2014, "continuing the Associate's employment constitutes mutual acceptance of the terms of

this Agreement by Associate and the Company." (*Id.*)

The Plaintiff's reference to an alternative electronic signature is provided for in the "Your Voice, Your Choice Packet" that Plaintiff acknowledged receiving. (Id. Ex. A.) The packet indicated at the very top in red that since Plaintiff did not make a selection, her participation in the agreement was final, and she was automatically "opted in." (Id. at Ex. C.) Plaintiff's choices were clear. She did not start the electronic process to sign, because the packet indicates in red that the process to submit selection was "Not Started." (Id.) Plaintiff could not start the electronic process to sign because she did not opt out according to the instructions in the arbitration agreement.

Plaintiff cites *Mitri v. Arnel Management Co.* (2007) 157 Cal.App.4th 1164 which is factually distinguishable. There, the Court held that Plaintiff's acknowledgment of receipt of the employee handbook did not constitute an agreement to arbitrate. The Court determined that the handbook stated employer policy, that employees were required to sign an arbitration agreement, and employees would be provided with a copy of their signed agreement. (Id. at 1170-1171.) Thus, the employer intended that the employee would sign a separate agreement, undermining the contention that accepting the employee handbook was a consent to arbitration. (Id.)

Defendants cite *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, wherein the California Supreme Court held that a signed arbitration agreement is not necessary and acceptance may be implied in fact, citing *Craig v. Brown & Root, Inc.* (2000) 84 Cal.App.4th 416 for the proposition that an employee's continued employment constitutes her acceptance of an agreement proposed by her employer. (Id. at 236.)

Defendant also cites *Johnmohammadi v. Bloomingdale's, Inc.* (9th Cir. 2014) 755 F.3d 1072 wherein the employee did not return the opt-out form. (Id. at 1074). The Ninth Circuit noted that "nothing stopped [employee] from opting out of the arbitration agreement. (Id. at 1076-1077 ["In sum, Johnmohammadi had the right to opt out of the arbitration agreement, and had she done so she would be free to pursue this class action in court."].)

Finally, Plaintiff explains the principle of contra proferentem, which is a principle applied in contract interpretation providing that if an agreement

is prepared entirely by the employer, ambiguities ordinarily are construed against the drafting employee. (Opp. 4:25-28.)

The principle has no application here where the arbitration agreement and the procedure for opting out, complete with a deadline, was clearly articulated.

As Defendants observe in reply, Plaintiff did not submit a declaration, and the opposition does not represent that Plaintiff did not receive the arbitration agreement or the packet. The opt-out provisions were clear and unambiguous, and therefore, the agreement is enforceable.

IV.

CONCLUSION

Based on the foregoing, Defendants' motion to compel arbitration is GRANTED. The Court orders this matter stayed pending completion of arbitration.